Embecta Corp. (EMBC): 5.00% Senior Secured Notes due 2030

High-yield credit memo · Ohm Patel · 23 October 2026
S&P B / stable · All debt 1L secured · Data: Q3 FY26 10-Q (30 Jun 2026)

1 · RECOMMENDATION

> **BUY, moderate size: the 5.00% 1L notes due 15 Feb 2030 at ~81 (≈12.1% yield to maturity).**
> The yield pays for a franchise in structural decline. In my downside case the company still covers cash interest about 2.1x, stays inside its 4.75x covenant and refinances. In my stress case, first-lien recovery of 60–85 cents limits the loss.

2 · BUSINESS

Embecta is the former Becton Dickinson diabetes-care unit, spun off in April 2022. It sells insulin pen needles and syringes, a razor-blade consumable that produced **$1,080m of revenue and $348m of Credit EBITDA in FY25**; pen needles were 73% of revenue and the US was 54%. In May 2026 it bought Owen Mumford, a UK drug-delivery business with an auto-injector platform (~$90m annual revenue), for $128m net cash, funded on the revolver.

3 · THE CREDIT QUESTION

US revenue fell **24.6% in Q3 FY26** and pen needles fell 18%. A large retail customer moved to a cheaper needle, Part D payers are pushing mix toward low-cost product, and fewer patients inject insulin as GLP-1s and automated insulin pumps spread. S&P cut the rating to B in May. Management cut its FY26 FCF expectation from $180–200m to ~$100m and the dividend from $0.15 to $0.01 a quarter. The market marks the debt at **~81 cents** (Level 2 fair value $1,186m against $1,455m carrying).

The near-term liquidity scare is mostly resolved. On 6 Aug 2026 the revolver was cut to $310m, and $210m of it was extended to Dec 2028, so March 2027 only matters for $100m of commitments. **The real question is the 2029–30 wall: $618m of term loan due March 2029 and $700m of notes due February 2030, for a business whose earnings are shrinking.** That wall gets refinanced only if leverage at the end of FY28 is something lenders will accept. This is a cash-coverage story with no terminal value: you cannot capitalise a declining single franchise.

4 · HOW I FORECAST US REVENUE

I model US revenue as a drug-utilization derivative rather than a medtech growth rate: **(1 + insulin-pen user volume) × (1 + net price/payer mix) × (1 + share)**. Volume falls as GLP-1s delay or replace basal-bolus insulin in type 2 and automated pumps (no pen needles) spread in type 1. Net price tracks the Part D redesign: plans now carry more of the insulin cost and push for the cheapest needle. Share is the private-label loss. International (generic GLP-1s co-packaged with Embecta needles in India, Canada and Brazil) and Owen Mumford are modelled separately. FY26E is calibrated to guidance: revenue $1,024m against a $1,015–1,035m range, FCF ~$111m against ~$100m.

5 · BASE CASE: MANAGEMENT'S PATH

$mm, FYE 30 Sep	FY25A	LTM Jun-26	FY26E	FY27E	FY28E	FY29E	FY30E
Revenue	1,080	1,019	1,024	1,042	1,034	1,032	1,033
US revenue growth	(4.6%)	—	(18.6%)	(12.4%)	(7.8%)	(6.4%)	(5.9%)
Credit EBITDA	348	306	298	287	284	284	279
Credit EBITDA margin	32.2%	30.0%	29.1%	27.5%	27.5%	27.5%	27.0%
Free cash flow (after interest)	182	165	111	160	167	172	163
Total debt	1,417	1,469	1,432	1,280	1,121	957	802
Net leverage	3.41x	4.09x	4.13x	3.77x	3.24x	2.67x	2.16x
EBITDA / cash interest	3.2x	3.2x	3.3x	3.3x	3.8x	4.3x	4.5x

Credit EBITDA = EBIT + D&A + non-recurring other operating expense − asset-sale gains. I do not add back stock comp, so this runs ~$30m below management's adjusted EBITDA; adding SBC back reproduces the ~3.7x covenant leverage management cites. Interest is on beginning-of-period balances, with no circularity.

Embecta sweeps all cash above $200m to the term loan and pays down about $615m of debt by FY30. It refinances the 2029–30 maturities at 9% from 3.2x leverage. In this case the notes are a par-plus-coupon outcome.

6 · DOWNSIDE AND STRESS: WHERE IT BREAKS

Downside: US volume falls 6–8% a year, net price falls 3–6%, private-label erodes share another 2–6% a year, gross margin drops to 49.5% by FY30, and refinancing costs 11%. **Stress:** US revenue falls 14–24% a year, gross margin drops to 46%, and the high-yield market is shut in FY29–30.

	FY26E	FY27E	FY28E	FY29E	FY30E
Downside					
Revenue / Credit EBITDA	1,016 / 293	987 / 237	937 / 211	899 / 193	871 / 179
Net leverage	4.22x	4.73x	4.80x	4.74x	4.73x
Covenant leverage (limit 4.75x) / EBITDA cushion	3.94x / 17%	4.37x / 8%	4.41x / 7%	4.34x / 9%	4.31x / 9%
EBITDA / cash interest	3.2x	2.7x	2.7x	2.7x	**2.1x**
Stress					
Revenue / Credit EBITDA	1,011 / 287	945 / 198	865 / 160	809 / 133	765 / 115
Covenant leverage	4.03x	**5.39x**	**6.17x**	**6.92x**	**7.53x**
EBITDA / cash interest	3.2x	2.3x	**2.0x**	**1.7x**	n.m.
Status / 1L recovery if default that year	OK	**Breach / 85%**	**Breach / 73%**	**Default / 65%**	**Default / 59%**

Recovery = distressed EV (Credit EBITDA × 5.0–6.0x) ÷ net debt. All four instruments are pari passu first lien, so every tranche recovers the same cents.

- **Trough leverage:** 4.8x in the downside (FY28) and 6.8x in stress (FY28). **Coverage** holds at 2.7x in the downside until refinancing at 11% pulls it down to 2.1x in FY30. In stress it falls below 2.0x in FY28.
- **Does it outrun the revolver?** Yes, in base and downside. FCF of $80–120m a year keeps the revolver undrawn after FY26 and liquidity at $410m. In stress, the covenant breaks in FY27, two years before liquidity runs out in FY29.
- **Can it refinance the March 2029 term loan?** In base, easily (3.2x). In the downside it is marginal: 4.8x with a 7% covenant cushion, which probably means an amend-and-extend rather than a clean new issue.
- **The thesis-break number: gross margin about 1.2 points below the downside path (~50% in FY28), or covenant EBITDA under ~$213m in FY28.** At that point the 4.75x covenant breaks and the 2029 maturity cannot be refinanced on its own. The base case can absorb a 6.3-point gross-margin miss before breaching.

Why buy at 81 if the downside is this tight? Holding to maturity, the notes return ~35 points (par plus coupons) in both base and downside. Stress costs roughly 0–25 points, depending on how early lenders take control. Because there is no unsecured debt, a breach in FY27–28 hands the 1L lenders a business still worth 73–85 cents. I would only avoid the notes if I thought stress was close to a coin flip.

7 · WHAT WOULD CHANGE MY MIND

- **US pen-needle revenue still falling more than 15% a year after Q3 FY27**, once the lost retail customer is lapped. That would mean the decline is structural volume and pricing, not a one-off share loss, which puts the company on the stress path.
- **Quarterly gross margin below ~52%** (Q3 FY26: 56.4%) or a covenant cushion under 10%. That is the break point above, visible a year ahead.
- **No refinancing plan for the March 2029 term loan by mid-2028**, when it becomes current debt. On the positive side, an FY26 10-K showing FCF of at least $100m and stable US sequential revenue would let me size up.

8 · RISKS THAT MATTER

1. GLP-1s shrink the injected-insulin pool faster than the generic GLP-1 business can replace it. Every point of US volume is high-margin needle revenue that falls through at the gross margin. Owen Mumford's auto-injector is the hedge, but at ~$90–120m of revenue it is too small to carry the debt.

2. Liability-management risk within the first-lien class. All four instruments are pari 1L. If refinancing goes badly in 2028, a majority group of term lenders could try a non-pro-rata uptier or drop-down that primes the notes, which sit under an indenture rather than the credit agreement. The notes' covenants and the term loan's sacred rights need a full read before sizing; this is the main reason the position is moderate rather than large.

Sources: Embecta FY25 10-K (25 Nov 2025), Q3 FY26 10-Q (7 Aug 2026) incl. Note 21 / Ex. 10.2 First Amendment, Q3 FY26 earnings release and call; S&P action 11 May 2026 (via Investing.com). Price is a proxy from the 10-Q blended fair value. Cbonds shows the 6.75% 2030s at ~G+930bp, implying the 5s nearer 78 (~13.3% yield); confirm on TRACE. Moody's rating not verified. Not investment advice.